

Centre-State Relations and the Seventh Schedule - The Foundation Track

Chapter F1.8 — From Zero: Federalism, the Three Lists, and the Two Concurrent Entries That Created Your Post

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NOTE · HOW TO USE THIS DOCUMENT

The chapter that supplies the legislative competence for every statute in Modules 2 and 3. It begins with what federalism is and why India is called quasi-federal, listing the federal and the unitary features and explaining the "indestructible Union of destructible States" formulation. It then takes the SEVENTH SCHEDULE in full - the Union List, the State List and the Concurrent List, with the original entry counts and an honest statement of why present-day counts differ across sources. It works Article 246 and the doctrine of repugnancy under Article 254, including the exception that lets a State law prevail with Presidential assent, and covers residuary powers under Entry 97 and Article 248. It then works CONCURRENT ENTRY 23 and ENTRY 24 as the specific source of the EPF & MP Act 1952, against UNION LIST ENTRY 55 which explains why mine safety is exclusively central - the F2.7 point. It closes on administrative and financial relations, the Inter-State Council and Zonal Councils, the GST Council as a new model of cooperative federalism, and the doctrines of pith and substance, colourable legislation and territorial nexus. Study time 3 hours.

This is the FOUNDATION layer. Article numbers and the original Seventh Schedule entry counts are settled. PRESENT-DAY entry counts differ across sources because entries have been added, deleted and renumbered by amendment; this chapter teaches the original 97/66/47 and states the variation honestly rather than asserting a single current figure. GST Council composition and voting weights are as at August 2026.

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0. Where Your Act's Authority Comes From

Parliament cannot legislate on anything it likes. This chapter is about the list that told it it could pass your Act.

WHY THIS EXISTS · THE QUESTION THIS CHAPTER ANSWERS

Throughout this manual one clause has recurred without full explanation: **"Parliament legislated under Concurrent Entries 23 and 24 read with Article 246."** This chapter explains what that means.

In a federal country, legislative power is DIVIDED. Some subjects belong to the national legislature, some to the States, and the division is set out in the Constitution itself. A legislature that passes a law on a subject outside its competence has passed a **void law**, however sensible the policy. **So competence is not a technicality - it is the difference between a valid Act and a nullity.**

Three things follow, and they are the reason this chapter matters to you:

- 1 **The EPF & MP Act 1952 is valid because "social security and social insurance" and "welfare of labour including provident funds" are on the CONCURRENT LIST.** Had they been on the State List, Parliament could not have enacted a national provident fund at all, and there would be no EPFO
- 2 **Because the subject is CONCURRENT, States can also legislate on it** - which raises the question of what happens when a State law conflicts with a central one. **Article 254 answers it, and the answer has one important exception**
- 3 **Mine safety is different.** It is on the **UNION LIST at Entry 55**, which is why the **DGMS is exclusively central** and why a State cannot legislate on mine safety at all - the point F2.7 made about the Mines Act

A practical consequence worth stating. An employer occasionally argues that a State enactment or a State welfare board's scheme displaces his EPF liability. **The answer lies in this chapter:** the EPF Act is a valid central law on a Concurrent subject, and under Article 254(1) a State law inconsistent with it is void to the extent of the repugnancy unless it has received the President's assent under Article 254(2). **Knowing that is knowing why your assessment stands.**

STUDY SESSION · CHAPTER F1.8 - THE FIVE SESSIONS

- 1 **Session 1** - What federalism is, and why India is quasi-federal (Section 1)
 - 2 **Session 2 - The Seventh Schedule and the three Lists** (Section 2)
 - 3 **Session 3 - Article 246, repugnancy under Article 254, and residuary powers** (Section 3)
 - 4 **Session 4 - Entries 23, 24 and 55 applied to your own statutes** (Section 4)
 - 5 **Session 5** - Administrative and financial relations; the councils (Section 5)
- Then **42 graded questions**. Budget **four sessions**, about **a day and a half**.

1. Session 1 - Is India Federal? ★★★★★

START FROM ZERO · THE FEATURES OF A FEDERATION

A **FEDERATION** is a system in which power is divided between a central authority and constituent units, each deriving its authority from the Constitution rather than from the other. The classic markers are:

- 1 **A written Constitution**
- 2 **A division of powers** between the centre and the units
- 3 **Supremacy of the Constitution** over both levels
- 4 **A rigid Constitution**, not alterable by the centre alone
- 5 **An independent judiciary** to police the division
- 6 **Bicameralism**, with a second chamber representing the units
- 7 **Dual polity** - two sets of government, each supreme in its sphere

India has ALL SEVEN of those features. So why is it not simply called federal?

Because it also has features no orthodox federation has, and the Constitution itself avoids the word. **Article 1** says "**India, that is Bharat, shall be a UNION OF STATES**" - not a federation. Dr Ambedkar explained the choice deliberately: the word "Union" was used to indicate two things - that **the Indian Union is not the result of an agreement among States** (unlike the USA, formed by contracting colonies), and that **the States have NO RIGHT TO SECEDE**.

The famous formulation: India is an "INDESTRUCTIBLE UNION OF DESTRUCTIBLE STATES". Contrast the USA, an indestructible union of indestructible States. **The Union cannot be broken up, but the States can be reorganised, renamed, merged or divided by Parliament under Article 3 by an ordinary majority** - as F1.2 taught. **That single asymmetry is the sharpest reason India is not an orthodox federation.**

MUST MASTER · THE UNITARY FEATURES - LEARN THESE AS A LIST

India is described as **QUASI-FEDERAL**, or in the Supreme Court's language "**federal in structure with a strong unitary bias**". The unitary features are:

- 1 **Strong Centre** - the Union List is the longest, and the most important subjects (defence, foreign affairs, currency, banking, communications) are on it
 - 2 **States are not indestructible - Article 3** lets Parliament alter State boundaries, names and areas **without the State's consent** (only its views are sought, and Parliament need not accept them)
 - 3 **SINGLE CONSTITUTION** - States have no constitutions of their own (contrast the USA, where each State has one). Jammu and Kashmir's separate Constitution was the historical exception and ceased to operate after the 2019 changes
 - 4 **SINGLE CITIZENSHIP** - one Indian citizenship, not dual State-and-national citizenship
 - 5 **INTEGRATED JUDICIARY** - the F1.7 point, one hierarchy applying both Union and State law
 - 6 **ALL-INDIA SERVICES** - the IAS, IPS and IFoS serve both levels; **their members hold key State posts but are controlled by the Union**, and cannot be dismissed by a State Government
 - 7 **Governor appointed by the Centre** - the F1.6 point, and he can reserve State Bills for the President and recommend Article 356
 - 8 **EMERGENCY PROVISIONS** - during a National Emergency the Centre may legislate on State subjects and give directions to States; **Article 356 can displace a State Government entirely**
 - 9 **INTEGRATED AUDIT** - a single **CAG** audits both Union and State accounts
 - 10 **SINGLE ELECTION MACHINERY** - one Election Commission conducts elections at both levels
 - 11 **PARLIAMENT'S POWER TO LEGISLATE ON STATE SUBJECTS** in defined circumstances (Article 249, 250, 252, 253 - Session 3)
 - 12 **VETO OVER STATE BILLS** - through the Governor's reservation power and the President's withholding of assent
 - 13 **RESIDUARY POWERS WITH THE UNION** - contrast the USA, where residuary powers rest with the States
- The best one-sentence characterisation, and it is a good interview answer:** the Constitution is **federal in its normal working and unitary in emergency**, and the Supreme Court in **SR Bommai (1994)** described the federal principle as a basic feature while accepting that the Indian model gives the Union a decisive preponderance.

KNOW · WHAT THE COURTS HAVE SAID

- 1 **State of West Bengal v Union of India (1963)** - the Supreme Court held that the Indian Constitution is **not truly federal**, and that the States are not sovereign
 - 2 **SR Bommai v Union of India (1994)** - held that **FEDERALISM is a basic feature** of the Constitution, and constrained Article 356 accordingly (the floor test, judicial review of the Governor's satisfaction)
 - 3 **Kuldip Nayar v Union of India (2006)** - upheld the removal of the domicile requirement for Rajya Sabha members, reasoning that Indian federalism does not require it
 - 4 **The prevailing position:** federalism is a basic feature and cannot be destroyed, but the Indian variant is deliberately Centre-leaning, and the Court reads the provisions accordingly
- The apparent tension between 1963 and 1994 is worth understanding rather than memorising.** The 1963 case denied that India is federal in the classical, US sense - which is correct. The 1994 case held that the federal PRINCIPLE, as embodied in the Indian scheme, is a basic feature that cannot be abrogated. **Both are consistent: India is not classically federal, but the federal features it does have are constitutionally entrenched.**

CHECK YOURSELF · SESSION 1

- 1 Name the seven classic markers of a federation. Does India have all of them?
- 2 What word does Article 1 use instead of "federation", and what two things did Ambedkar say it indicates?
- 3 Explain "indestructible Union of destructible States" and contrast the USA
- 4 Name ten unitary features of the Indian Constitution
- 5 Where do residuary powers lie in India, and in the USA?
- 6 State the positions in State of West Bengal (1963) and SR Bommai (1994), and reconcile them

2. Session 2 - The Seventh Schedule ★★★★★

MUST MASTER · THE THREE LISTS - AND AN HONEST WORD ABOUT THE COUNTS

The **SEVENTH SCHEDULE** to the Constitution divides legislative subjects into three Lists.

- 1 **LIST I - the UNION LIST.** Subjects on which **PARLIAMENT ALONE** may legislate. **Originally 97 entries**
- 2 **LIST II - the STATE LIST.** Subjects on which **STATE LEGISLATURES ALONE** may legislate (subject to the exceptions in Session 3). **Originally 66 entries**
- 3 **LIST III - the CONCURRENT LIST.** Subjects on which **BOTH Parliament and State Legislatures** may legislate. **Originally 47 entries**

THE HONEST STATEMENT ABOUT PRESENT COUNTS, and this manual will not pretend otherwise. Entries have been added, deleted, split and renumbered by amendment since 1950.

Different reputable sources therefore give different present-day totals - the Union List is variously cited as 98 or 100, the State List as 59 or 61, and the Concurrent List as 52. The variation arises from how sources treat deleted entries that retain their numbers and entries subdivided into (a) and (b).

So the safe approach, and the one this manual adopts throughout:

- 1 **Learn the ORIGINAL counts: 97 Union, 66 State, 47 Concurrent.** These are historically fixed and defensible
- 2 **Know that the present counts differ and why,** and if a question demands a current figure, prefer **Union 98 / State 59 / Concurrent 52** as the most commonly cited set, while recognising the uncertainty
- 3 **What actually gets asked far more often is WHICH LIST a given subject is on** - and that is answerable with certainty

The major transfers by the 42nd Amendment 1976 are examinable, because they moved five subjects **from the State List to the Concurrent List:**

- 1 **Education**
- 2 **Forests**
- 3 **Weights and measures**
- 4 **Protection of wild animals and birds**
- 5 **Administration of justice; constitution and organisation of all courts except the Supreme Court and High Courts**

Mnemonic for the five: EDUCATION, FORESTS, WEIGHTS AND MEASURES, WILDLIFE, ADMINISTRATION OF JUSTICE. This is one of the most frequently tested facts about the Seventh Schedule, and it is a significant centralising move.

MUST MASTER · WHAT IS ON EACH LIST - THE ENTRIES WORTH KNOWING

List	Principal subjects and notable entries
UNION LIST (I)	Defence (1) · Atomic energy (6) · Foreign affairs (10) · Railways (22) · Airways (29) · Posts and telegraphs (31) · REGULATION OF LABOUR AND SAFETY IN MINES AND OILFIELDS (55) · Banking (45) · Insurance (47) · Currency and coinage (36) · Inter-State trade and commerce (42) · Census (69) · Union Public Services and UPSC (70) · Supreme Court (77) · RESIDUARY (97)
STATE LIST (II)	Public order (1) · Police (2) · Local government (5) · Public health and sanitation, hospitals and dispensaries (6) · Agriculture (14) · Land and land revenue (18, 45) · Trade and commerce within the State (26) · Markets and fairs (28) · Money-lending (30) · State Public Services and State PSC (41) · Betting and gambling (34)
CONCURRENT LIST (III)	Criminal law and Criminal Procedure (1, 2) · Preventive detention (3) · Marriage and divorce (5) · Transfer of property (6) · Contracts (7) · Bankruptcy (9) · Trusts (10) · Civil Procedure (13) · Evidence and oaths (12) · TRADE UNIONS; INDUSTRIAL AND LABOUR DISPUTES (22) · SOCIAL SECURITY AND SOCIAL INSURANCE; EMPLOYMENT AND UNEMPLOYMENT (23) · WELFARE OF LABOUR INCLUDING CONDITIONS OF WORK, PROVIDENT FUNDS, EMPLOYERS' LIABILITY, WORKMEN'S COMPENSATION, INVALIDITY AND OLD AGE PENSIONS AND MATERNITY BENEFITS (24) · EDUCATION (25, moved by the 42nd Amendment) · FORESTS (17A) · Factories (36) · Electricity (38) · Price control (34)

READ CONCURRENT ENTRY 24 IN FULL AGAIN, because it is remarkable how precisely it maps onto Module 3:

"Welfare of labour including conditions of work, PROVIDENT FUNDS, EMPLOYERS' LIABILITY, WORKMEN'S COMPENSATION, INVALIDITY AND OLD AGE PENSIONS and MATERNITY BENEFITS."

- 1 "provident funds" → the **EPF & MP Act 1952**
- 2 "employers' liability, workmen's compensation" → the **Employees' Compensation Act 1923**
- 3 "invalidity and old age pensions" → **EPS 1995**
- 4 "maternity benefits" → the **Maternity Benefit Act 1961**

Entry 24 is effectively a table of contents for Module 3, written in 1950. That is not coincidence - the framers had the Karachi Resolution's demands and the existing 1923 and 1948 statutes in view, and drafted the entry to authorise exactly this legislation. **Recognising that turns the Seventh Schedule from a list to be memorised into an intelligible design.**

CHECK YOURSELF · SESSION 2

- 1 Name the three Lists and their original entry counts
- 2 Why do present-day counts differ across sources, and what should you do about it in the exam?
- 3 Name the five subjects moved from the State List to the Concurrent List by the 42nd Amendment
- 4 On which List and at which entry is mine safety? What does that explain about the DGMS?
- 5 Recite Concurrent Entry 23 and Entry 24
- 6 Map the four clauses of Entry 24 onto four statutes from Module 3
- 7 On which List are police, public health, and local government?

3. Session 3 - Article 246, Repugnancy, Residuary Power ★★★★★

MUST MASTER · ARTICLE 246 - THE DISTRIBUTION RULE

- 1 **Article 246(1) - Parliament has EXCLUSIVE power** to make laws with respect to any matter in **List I (Union List)**
- 2 **Article 246(2) - Parliament AND State Legislatures** both have power over matters in **List III (Concurrent List)**
- 3 **Article 246(3) - State Legislatures have EXCLUSIVE power** over matters in **List II (State List)**, subject to clauses (1) and (2)
- 4 **Article 246(4) - Parliament may legislate for any part of India not included in a State** (i.e., Union Territories) on **any matter, including State List matters**

Note the ordering of the clauses, because it encodes a hierarchy. Clause (1) is stated first and without qualification; clause (3) is expressly made "**subject to**" clauses (1) and (2). **So in a genuine conflict of entries the Union List prevails over the Concurrent List, and the Concurrent List prevails over the State List.** The technical name for this is the rule of **UNION SUPREMACY** or federal supremacy, and it is a further unitary feature.

PARLIAMENT'S POWER TO LEGISLATE ON STATE SUBJECTS - five routes. These are all examinable and are frequently tested as a set:

- 1 **Article 249 - in the NATIONAL INTEREST**, if the **RAJYA SABHA passes a resolution by a 2/3 majority of members present and voting** that a State List matter should be legislated on by Parliament. **The resolution lasts one year, renewable**
- 2 **Article 250 - during a NATIONAL EMERGENCY**, Parliament may legislate on any State List matter. Such a law ceases six months after the Emergency ends
- 3 **Article 252 - at the REQUEST OF TWO OR MORE STATES.** If two or more State Legislatures pass resolutions requesting Parliament to legislate on a State subject, Parliament may do so, and the Act applies to those States (and to others that later adopt it). **Only Parliament can then amend or repeal it.** Examples: the Wildlife (Protection) Act 1972 and the Water (Prevention and Control of Pollution) Act 1974 were enacted this way
- 4 **Article 253 - to implement INTERNATIONAL TREATIES, agreements or conventions**, or a decision of an international conference or body. **Parliament may legislate on ANY matter, including State List matters, without needing State consent.** This is a very wide power
- 5 **Article 356 - during President's Rule in a State**, Parliament may legislate for that State

Article 253 is worth pausing on for its relevance to Module 3. Because it lets Parliament legislate on any subject to implement an international convention, **the ILO Conventions you learned about in F2.1 and F3.1 could in principle support central legislation even on State subjects.** That is a good interview point about how international labour standards enter Indian law.

MUST MASTER · ARTICLE 254 - REPUGNANCY, AND THE EXCEPTION THAT MATTERS

Because the Concurrent List is shared, conflicts are inevitable. **Article 254 resolves them.**

Article 254(1) - the general rule. If a provision of a **State law** is **repugnant** to a provision of a **law made by Parliament** which Parliament is competent to enact, or to an **existing law** with respect to a Concurrent matter, then **the PARLIAMENTARY LAW PREVAILS** and the **State law is VOID to the extent of the repugnancy.**

Article 254(2) - THE EXCEPTION. If a **State law** with respect to a **Concurrent** matter has been **RESERVED FOR THE PRESIDENT'S CONSIDERATION** and has **RECEIVED HIS ASSENT**, then **the STATE LAW PREVAILS IN THAT STATE**, notwithstanding its repugnancy to an earlier parliamentary law.

But note the proviso to 254(2): Parliament may at any time thereafter enact a law on the same matter, adding to, amending, varying or repealing the State law. So Parliament retains the last word - the State law prevails only until Parliament legislates again.

This is the sequence to have ready, because it is a favourite of statement-based questions:

- 1 State law conflicts with central law on a Concurrent subject → central law prevails (254(1))**
- 2 UNLESS the State law received the President's assent → then the State law prevails in that State (254(2))**
- 3 BUT Parliament can override it again by fresh legislation (proviso to 254(2))**

Applied to your own work. If a State enacted a provident-fund-like measure inconsistent with the EPF & MP Act 1952, it would be **void under Article 254(1)** unless it had received Presidential assent.

This is the constitutional answer to the employer who argues that a State scheme discharges his central liability - and it is worth knowing precisely, because the argument is occasionally made.

KNOW · RESIDUARY POWERS, AND THREE INTERPRETIVE DOCTRINES

RESIDUARY POWERS - Article 248 and Union List Entry 97. Parliament has **exclusive power to make any law with respect to any matter NOT ENUMERATED in the Concurrent List or the State List**, including a tax not mentioned in either.

- 1 **So residuary power belongs to the UNION** - contrast the **USA and Australia, where it belongs to the States**, and **Canada, where it belongs to the centre** (India followed the Canadian model)
- 2 **Entry 97 of the Union List** is the corresponding entry
- 3 **Examples of subjects held to fall within residuary power:** cyber laws, and historically the Gift Tax

THREE INTERPRETIVE DOCTRINES the courts use when entries appear to overlap. All three are examinable.

- 1 **PITH AND SUBSTANCE.** Where a law appears to trench on a list not assigned to the enacting legislature, the court looks at the law's **true nature and character** - its "pith and substance". **If in substance the law falls within the legislature's own list, incidental encroachment on another list does not invalidate it.** Leading case: **State of Bombay v FN Balsara (1951)**
- 2 **COLOURABLE LEGISLATION.** A legislature cannot do **indirectly** what it cannot do **directly**. If a law purports to be on a subject within competence but is in substance an attempt to legislate on a subject outside it, it is **colourable and void**. The maxim is "*what cannot be done directly cannot be done indirectly*". Leading case: **KC Gajapati Narayan Deo v State of Orissa (1953)**
- 3 **TERRITORIAL NEXUS.** A State law may have extra-territorial operation if there is a **sufficient connection (nexus)** between the State and the subject matter. The nexus must be **real, not illusory**, and the liability must be **relevant** to that connection

A fourth idea worth naming: the DOCTRINE OF ECLIPSE and severability you met in F1.3 under Article 13 - a distinct but related set of tools for dealing with partially invalid laws.

CHECK YOURSELF · SESSION 3

- 1 State Article 246(1), (2), (3) and (4). What hierarchy does the drafting encode?
- 2 Name the five routes by which Parliament may legislate on a State subject, with their articles
- 3 Under Article 249, what majority is needed and in which House? How long does the resolution last?
- 4 What is special about an Article 252 law once enacted?
- 5 Why is Article 253 relevant to ILO Conventions?
- 6 State Article 254(1) and 254(2), and the proviso to 254(2)
- 7 Apply Article 254 to a State measure inconsistent with the EPF Act
- 8 Where do residuary powers lie in India, the USA and Canada? Which entry and article?
- 9 Explain pith and substance, colourable legislation and territorial nexus, with a case for the first two

4. Session 4 - Entries 23, 24 and 55 Applied ★★★★★

MUST MASTER · THE COMPETENCE OF EVERY STATUTE IN MODULES 2 AND 3

This section does something no other chapter can: it states the **constitutional source of competence** for each statute you have learned.

Statute	List and Entry	Consequence
EPF & MP Act 1952	Concurrent 23 and 24	Central Act; States may not enact inconsistently (Art 254(1))
ESI Act 1948	Concurrent 23 and 24	Central Act; ESIC is a central statutory body
Employees' Compensation Act 1923	Concurrent 24 ("employers' liability, workmen's compensation")	Central Act; administered through State-appointed Commissioners
Maternity Benefit Act 1961	Concurrent 24 ("maternity benefits")	Central Act; State rules supplement it
Payment of Gratuity Act 1972	Concurrent 24 ("welfare of labour")	Central Act
Trade Unions Act 1926	Concurrent 22 ("trade unions")	Central Act; State-level registrars
Industrial Disputes Act 1947	Concurrent 22 ("industrial and labour disputes")	Central Act; State amendments common, often with Presidential assent
Factories Act 1948	Concurrent 36 ("factories")	Central Act; State rules and State inspectorates
Mines Act 1952	UNION 55	EXCLUSIVELY CENTRAL - no State competence at all

THE MINES ANOMALY, and why it matters. Every other labour statute rests on the Concurrent List. **The Mines Act 1952 rests on UNION LIST ENTRY 55 - "Regulation of labour and safety in mines and oilfields".** So:

- 1 **A State Legislature cannot legislate on mine safety at all**, not even consistently with the central Act
- 2 **Enforcement is exclusively central**, through the **Directorate General of Mines Safety (DGMS) at Dhanbad** - the F2.10 fact
- 3 **There are no State mine-safety inspectorates**, unlike factory inspectorates which exist in every State

This explains something F2.7 asserted without proof: why mines are administered differently from factories. Factories are Concurrent (Entry 36), so every State has its own inspectorate and its own rules. **Mines are Union (Entry 55), so there is one national inspectorate and no State rules.** The difference is not administrative convenience - it is constitutional competence.

And it explains the appropriate-Government pattern from F2.10. The Central Government is the appropriate Government for **mines, oilfields, railways, major ports, banking and insurance companies** - and if you check, each of those appears on the **Union List**. **The appropriate-Government doctrine tracks the Seventh Schedule.**

FROM YOUR OWN WORLD · COMPETENCE AS A MANDATE CHECK

A banker checks two different things before executing an instruction, and keeps them separate.

First, is the instruction WITHIN THE MANDATE? Does the account's operating authority permit this person to give this instruction on this account? A payment instruction signed by somebody outside the mandate is **not merely irregular - it is unauthorised**, and executing it exposes the bank.

Second, is the instruction sensible? Are the funds available, is the beneficiary correct, does anything look suspicious?

Legislative competence is the first question, and it comes first for the same reason. A statute outside the legislature's List is **unauthorised** - void, however sensible its policy. A court asked to strike down an Act on competence grounds does not ask whether the law is good; it asks whether the legislature had the mandate. **That is exactly the mandate check, at constitutional scale.**

And the doctrine of PITH AND SUBSTANCE is the banking equivalent of looking past the label on an instruction to what it actually does. An instruction titled "transfer" that in substance creates an overdraft is treated as what it is, not as what it is called. **Courts read statutes the same way** - hence *Balsara*, and hence the rule that incidental encroachment does not invalidate a law whose true character is within competence.

CHECK YOURSELF · SESSION 4

- 1 Give the List and Entry for the EPF Act, the ESI Act, the Employees' Compensation Act and the Factories Act
- 2 On which List and Entry does the Mines Act rest, and what three consequences follow?
- 3 Why does every State have a factory inspectorate but no mine-safety inspectorate?
- 4 How does the appropriate-Government doctrine relate to the Seventh Schedule?
- 5 Explain competence using the banker's mandate check

5. Session 5 - Administrative and Financial Relations ★★★★★☆

KNOW · ADMINISTRATIVE RELATIONS - ARTICLES 256-263

- 1 **Article 256** - the executive power of every State shall be so exercised as to **ensure compliance with the laws made by Parliament**, and the **Union may give such DIRECTIONS to a State as appear necessary** for that purpose
 - 2 **Article 257** - the executive power of a State shall not be exercised so as to **impede or prejudice the exercise of the executive power of the Union**, and the Union may give directions, including as to **means of communication of national or military importance** and the **protection of railways**
 - 3 **Article 258** - the Union may, **with the consent of the State Government**, entrust functions to the State
 - 4 **Article 261** - **FULL FAITH AND CREDIT** shall be given throughout India to public acts, records and judicial proceedings of the Union and of every State
 - 5 **Article 262** - adjudication of disputes relating to **INTER-STATE RIVERS**; Parliament may by law provide for adjudication and may **exclude the jurisdiction of the Supreme Court** in such disputes. Under it the **Inter-State River Water Disputes Act 1956** was enacted
 - 6 **Article 263** - the **President may establish an INTER-STATE COUNCIL** to inquire into and advise on disputes between States, and to investigate and discuss subjects of common interest
- The sanction behind Articles 256 and 257 is severe: failure by a State to comply with a Union direction can be treated as a failure of constitutional machinery, attracting Article 356.** That is what makes these directions more than advisory, and it is another unitary feature.

THE COUNCILS - three to know:

- 1 **INTER-STATE COUNCIL** - established by Presidential order in **1990** on the **Sarkaria Commission's** recommendation, under **Article 263**. Chaired by the **Prime Minister**, with Chief Ministers of all States, Administrators of UTs, and six Union Ministers. **Recommendatory**
- 2 **ZONAL COUNCILS - STATUTORY, not constitutional** - created by the **States Reorganisation Act 1956**. **Five Zonal Councils** (Northern, Central, Eastern, Western, Southern), each chaired by the **Union Home Minister**, with a **North-Eastern Council** created separately by the **North-Eastern Council Act 1971**. **The statutory-not-constitutional point is a favourite examination target**
- 3 **GST COUNCIL - CONSTITUTIONAL**, created by the **101st Amendment 2016** under **Article 279A**. Session below

NITI Aayog, which replaced the Planning Commission in **2015**, is an **EXECUTIVE body created by a Cabinet resolution - neither constitutional nor statutory**. Chaired by the **Prime Minister**. This three-way classification (constitutional / statutory / executive) is exactly the F2.10 three-fact rule applied to Centre-State bodies.

MUST MASTER · FINANCIAL RELATIONS, AND THE GST COUNCIL AS A NEW MODEL

The basic scheme of financial relations:

- 1 Taxes are allocated between Union and States by the Seventh Schedule
- 2 **The FINANCE COMMISSION under Article 280** recommends the distribution of the net proceeds of shareable taxes between the Union and the States, and among the States. **F1.10 covers it in full**
- 3 **Grants-in-aid** under **Article 275** (statutory, on Finance Commission recommendation) and **Article 282** (discretionary, for any public purpose - the basis of many centrally sponsored schemes)

THE GST COUNCIL - Article 279A, inserted by the 101st Amendment 2016. This is the most significant recent change in Indian fiscal federalism and is heavily examined.

- 1 **Composition:** the **Union Finance Minister as CHAIRPERSON**; the Union Minister of State for Finance or Revenue; and **the Minister in charge of Finance or Taxation of EACH STATE**
- 2 **Vice-Chairperson:** chosen from among the State Ministers
- 3 **Quorum:** **half of the total number of members**
- 4 **VOTING WEIGHTS - the key facts:**
- 5 Every decision requires a **majority of NOT LESS THAN THREE-FOURTHS of the weighted votes of the members present and voting**
- 6 **The CENTRE's vote has a weightage of ONE-THIRD of the total votes cast**
- 7 **ALL THE STATES TOGETHER have a weightage of TWO-THIRDS of the total votes cast**

Read those weights carefully, because they encode a genuine bargain. With a three-fourths threshold, **the Centre alone (one-third) cannot pass a resolution**, and **the States alone (two-thirds) cannot pass one either** - two-thirds is less than three-fourths. **So every GST decision requires the Centre and a substantial body of States to agree.** Neither side can dictate.

That is why the GST Council is described as an experiment in COOPERATIVE FEDERALISM, and why it is a good answer to any question about the direction of Indian federalism. **Contrast the older instruments in this chapter** - Article 256 directions, Article 356, the Governor's reservation power - which are all **hierarchical**. The GST Council is **negotiated**. Both models now operate side by side.

One further point, which is honest rather than flattering. States have periodically complained about delayed GST compensation and about the practical dominance of the Centre in Council proceedings. **So the cooperative model is real but contested**, and the balanced formulation is that **the GST Council created a genuine forum of shared fiscal decision-making whose effectiveness depends on how the parties use it.**

ACTION · WHERE THIS LEAVES YOU, AND WHAT F1.9 DOES

You now know **where your Act's authority comes from: Concurrent Entries 23 and 24, read with Article 246(2)**, with **Article 254** guaranteeing that the central Act prevails over an inconsistent State law unless that State law carries the President's assent. And you know **why mines are different - Union Entry 55** - which explains the DGMS and the appropriate-Government pattern. **Next: Chapter F1.9 - LOCAL GOVERNMENT**, the third tier created by the **73rd and 74th Amendments of 1992**. It matters more than its share of the syllabus suggests, because the **2023 paper drew four Polity questions from local government and Finance Commissions against only two from Fundamental Rights** - a weighting the Compact manual flagged and this Foundation track respects. F1.9 covers the Panchayati Raj three-tier structure, the Eleventh and Twelfth Schedules, reservations, the State Election Commission and the State Finance Commission.

6. Graded Practice - 42 Questions ★★★★★

6.1 Level 1 - Recognition

Q. 1. Article 1 of the Constitution describes India as

(a) a federation of States (b) a Union of States (c) a confederation (d) a unitary State

Q. 2. The original number of entries in the Union List was

(a) 66 (b) 86 (c) 97 (d) 100

Q. 3. The original number of entries in the State List was

(a) 47 (b) 59 (c) 61 (d) 66

Q. 4. The original number of entries in the Concurrent List was

(a) 47 (b) 52 (c) 66 (d) 97

Q. 5. Concurrent List Entry 23 covers

(a) trade unions (b) social security and social insurance; employment and unemployment (c) factories (d) education

Q. 6. Concurrent List Entry 24 covers

(a) welfare of labour including provident funds, employers' liability and maternity benefits (b) mines and oilfields (c) banking (d) police

Q. 7. Regulation of labour and safety in mines and oilfields is

(a) Concurrent Entry 24 (b) Union List Entry 55 (c) State List Entry 26 (d) Concurrent Entry 36

Q. 8. Residuary powers of legislation in India lie with

(a) the States (b) the Union (c) both concurrently (d) the Supreme Court

Q. 9. Residuary power is conferred by

(a) Article 246 and Entry 55 (b) Article 248 and Union List Entry 97 (c) Article 254 (d) Article 263

Q. 10. The rule that a parliamentary law prevails over a repugnant State law on a Concurrent subject is in

(a) Article 246 (b) Article 248 (c) Article 254(1) (d) Article 256

Q. 11. A State law on a Concurrent matter may prevail over an earlier central law if it has received the assent of the

(a) Governor (b) Prime Minister (c) President (d) Chief Justice

Q. 12. Parliament may legislate on a State subject in the national interest if the Rajya Sabha so resolves under

(a) Article 249 (b) Article 250 (c) Article 252 (d) Article 253

Q. 13. Parliament may legislate on a State subject to implement an international treaty under

(a) Article 249 (b) Article 250 (c) Article 252 (d) Article 253

Q. 14. Zonal Councils are

(a) constitutional bodies (b) statutory bodies under the States Reorganisation Act 1956 (c) executive bodies created by Cabinet resolution (d) judicial bodies

Q. 15. The Inter-State Council is established under

(a) Article 262 (b) Article 263 (c) Article 279A (d) Article 280

Q. 16. The GST Council is established under

(a) Article 263 (b) Article 275 (c) Article 279A (d) Article 280

Q. 17. The GST Council was created by the

(a) 73rd Amendment (b) 91st Amendment (c) 101st Amendment (d) 104th Amendment

Q. 18. NITI Aayog is

(a) a constitutional body (b) a statutory body (c) an executive body created by Cabinet resolution (d) a Finance Commission organ

6.2 Level 2 - Understanding

Q. 19. India is called an "indestructible Union of destructible States" because

(a) States may secede but the Union may not be dissolved (b) the Union cannot be broken up, but Parliament may alter State boundaries and names under Article 3 without State consent (c) States are permanent and the Union is not (d) the Constitution is silent on secession

Q. 20. Which one of the following is NOT a unitary feature of the Indian Constitution?

(a) Single citizenship (b) Integrated judiciary (c) All-India Services (d) Residuary powers vested in the States

Q. 21. The five subjects moved from the State List to the Concurrent List by the 42nd Amendment include

(a) police and public order (b) education, forests, weights and measures, wildlife protection and administration of justice (c) banking and insurance (d) agriculture and land revenue

Q. 22. In State of West Bengal v Union of India (1963) the Supreme Court held that

(a) India is a true federation (b) the Indian Constitution is not truly federal and the States are not sovereign (c) States may secede (d) federalism is not a basic feature

Q. 23. In SR Bommai v Union of India (1994) the Supreme Court held that

(a) federalism is not justiciable (b) federalism is a basic feature of the Constitution (c) Article 356 is beyond judicial review (d) States are sovereign

Q. 24. Under Article 249, the required majority in the Rajya Sabha is

(a) a simple majority (b) two-thirds of members present and voting (c) two-thirds of total membership (d) three-fourths of members present and voting

Q. 25. An Act passed under Article 252 at the request of two or more States

(a) may be amended by any State Legislature (b) may be amended or repealed only by Parliament (c) applies to all States automatically (d) lapses after one year

Q. 26. Article 253's significance for labour law is that

(a) it excludes ILO Conventions from Indian law (b) it permits Parliament to legislate on ANY matter, including State subjects, to implement an international convention (c) it requires State consent for treaty implementation (d) it applies only to trade treaties

Q. 27. The doctrine of pith and substance means that

(a) any encroachment on another list invalidates a law (b) a court looks to the law's true nature and character, so incidental encroachment does not invalidate it (c) only the Supreme Court may interpret entries (d) State laws always prevail

Q. 28. The doctrine of colourable legislation rests on the maxim that

(a) later law prevails over earlier (b) what cannot be done directly cannot be done indirectly (c) the specific prevails over the general (d) taxation is presumed valid

Q. 29. The reason no State has a mine-safety inspectorate is that

(a) mining is unimportant in most States (b) mine safety is on the Union List at Entry 55, so States have no legislative competence over it (c) the DGMS refuses to delegate (d) the Mines Act was repealed

Q. 30. The appropriate-Government doctrine (Central for railways, mines, major ports, banking and insurance) tracks

(a) the Concurrent List only (b) the Seventh Schedule, those subjects being on the Union List (c) the Eleventh Schedule (d) the Finance Commission's recommendations

Q. 31. In the GST Council, the Centre's votes carry a weightage of

(a) one-fourth (b) one-third (c) one-half (d) two-thirds

Q. 32. A decision of the GST Council requires a majority of

(a) one-half of weighted votes (b) two-thirds of weighted votes (c) three-fourths of weighted votes of members present and voting (d) unanimity

Q. 33. The GST Council's voting design means that

(a) the Centre can pass any resolution alone (b) the States together can pass any resolution alone (c) neither the Centre alone nor all the States together can pass a resolution, so agreement between them is required (d) the Chairperson has a casting vote deciding all matters

6.3 Level 3 - Recruitment Test standard**Q. 34. Match List-I with List-II and select the correct answer using the code below:**

List-I	List-II
A. Repugnancy between central and State law	1. Article 248
B. Residuary powers	2. Article 253
C. Legislation to implement treaties	3. Article 254
D. Inter-State Council	4. Article 263

(a) A-3 B-1 C-2 D-4 (b) A-1 B-3 C-2 D-4 (c) A-3 B-2 C-1 D-4 (d) A-4 B-1 C-2 D-3

Q. 35. Consider the following statements:

- 1 The EPF & MP Act 1952 rests on Concurrent List Entries 23 and 24.
- 2 The Mines Act 1952 rests on Union List Entry 55.
- 3 The Factories Act 1948 rests on Concurrent List Entry 36.

Which of the above statements are correct?

(a) 1 and 2 only (b) 2 and 3 only (c) 1 and 3 only (d) 1, 2 and 3

Q. 36. An employer argues that a State welfare board scheme discharges his liability under the EPF & MP Act 1952. The correct constitutional answer is that

(a) the State scheme prevails, welfare being a State subject (b) the State law is void to the extent of repugnancy under Article 254(1) unless it received the President's assent under Article 254(2) (c) both apply concurrently and the employer may choose (d) the matter must go to the Inter-State Council

Q. 37. Consider the following statements about Parliament's power to legislate on State subjects:

- 1 Under Article 249 a Rajya Sabha resolution by two-thirds of members present and voting is required, and it lasts one year, renewable.
- 2 Under Article 250 Parliament may legislate on State subjects during a National Emergency.
- 3 Under Article 252, once two or more States request legislation, the resulting Act may be amended only by Parliament.

Which of the above statements are correct?

(a) 1 and 2 only (b) 2 and 3 only (c) 1 and 3 only (d) 1, 2 and 3

Q. 38. Which one of the following statements is not correct?

(a) Zonal Councils are statutory, created by the States Reorganisation Act 1956 (b) The Inter-State Council is constitutional, under Article 263, established in 1990 on the Sarkaria Commission's recommendation (c) The GST Council is a statutory body created by an Act of Parliament (d) NITI Aayog is an executive body created by Cabinet resolution

Q. 39. Concurrent Entry 24 maps onto which set of statutes?

(a) Trade Unions Act, Industrial Disputes Act, Factories Act (b) EPF & MP Act, Employees' Compensation Act, EPS, Maternity Benefit Act (c) Mines Act, Companies Act, Banking Regulation Act (d) Police Act, Public Health Act

Q. 40. The ordering of clauses in Article 246, with clause (3) made "subject to" clauses (1) and (2), encodes

(a) State supremacy (b) Union supremacy - Union List prevails over Concurrent, which prevails over State (c) equality of the three Lists (d) judicial supremacy

Q. 41. Residuary power lies with the States in

(a) India and Canada (b) the USA and Australia (c) Canada only (d) India only

Q. 42. The best characterisation of Indian federalism is that it is

(a) purely unitary (b) classically federal on the US model (c) federal in its normal working and unitary in emergency, with federalism nevertheless a basic feature (d) confederal

7. Answers and Explanations

7.1 Level 1

Q	Ans	Explanation
1	b	"Union of States" - deliberately not "federation", indicating no agreement among States and no right to secede
2	c	97 originally
3	d	66 originally

Q	Ans	Explanation
4	a	47 originally
5	b	Social security and social insurance; employment and unemployment
6	a	Welfare of labour including provident funds, employers' liability, workmen's compensation, invalidity and old age pensions and maternity benefits
7	b	Union List Entry 55 - exclusively central
8	b	The Union - contrast the USA and Australia
9	b	Article 248 and Union List Entry 97
10	c	Article 254(1)
11	c	President - Article 254(2)
12	a	Article 249
13	d	Article 253
14	b	Statutory , under the States Reorganisation Act 1956 - NOT constitutional. A favourite trap
15	b	Article 263
16	c	Article 279A
17	c	101st Amendment 2016
18	c	Executive body created by Cabinet resolution - neither constitutional nor statutory

7.2 Level 2

Q	Ans	Explanation
19	b	Parliament may alter State boundaries and names under Article 3 without State consent , while the Union itself cannot be dissolved and States cannot secede
20	d	Residuary powers vest in the UNION in India , not the States. The other three are genuine unitary features
21	b	Education, forests, weights and measures, wildlife protection, administration of justice - a significant centralising move
22	b	Not truly federal; States not sovereign
23	b	Federalism IS a basic feature - and the two cases are reconcilable: not classically federal, but the federal features India has are entrenched
24	b	Two-thirds of members present and voting - not of total membership
25	b	Only Parliament may amend or repeal it , which is the price the requesting States pay
26	b	Parliament may legislate on ANY matter, including State subjects , to implement an international convention - which is how ILO standards can enter Indian law
27	b	True nature and character; incidental encroachment does not invalidate. Balsara 1951
28	b	What cannot be done directly cannot be done indirectly. Gajapati Narayan Deo 1953
29	b	Union List Entry 55 leaves States no competence at all over mine safety - which is why enforcement is exclusively through the DGMS
30	b	The Seventh Schedule - each of those subjects is on the Union List, so the appropriate-Government pattern tracks the constitutional division
31	b	One-third

Q	Ans	Explanation
32	c	Three-fourths of weighted votes of members present and voting
33	c	Neither side alone can pass a resolution. The Centre has one-third and all States together two-thirds, both short of the three-fourths threshold - so agreement is structurally required

7.3 Level 3

Q	Ans	Explanation
34	a	A-3 repugnancy = Art 254; B-1 residuary = Art 248; C-2 treaties = Art 253; D-4 Inter-State Council = Art 263
35	d	All three correct - the competence map for three of the module's principal statutes
36	b	Article 254(1) renders the State law void to the extent of repugnancy , unless it obtained Presidential assent under 254(2) - and even then Parliament may override it again
37	d	All three correct - the three most examinable of the five routes
38	c	(c) is FALSE. The GST Council is CONSTITUTIONAL , created by the 101st Amendment under Article 279A - not statutory
39	b	EPF & MP Act, Employees' Compensation Act, EPS and Maternity Benefit Act - Entry 24 names provident funds, employers' liability, invalidity and old age pensions, and maternity benefits in terms
40	b	Union supremacy. Clause (3) is expressly subject to (1) and (2), so the hierarchy runs Union > Concurrent > State
41	b	The USA and Australia. India followed the Canadian model of vesting residuary power in the centre
42	c	Federal in normal working, unitary in emergency, with federalism a basic feature - the balanced formulation

8. One-Minute Revision

ONE-MINUTE REVISION · CHAPTER F1.8 - CENTRE-STATE RELATIONS AND THE SEVENTH SCHEDULE

THE QUESTION THIS CHAPTER ANSWERS where does the EPF Act's authority come from?

Concurrent Entries 23 and 24 with Art 246(2) · a law outside the legislature's List is **VOID**, however good the policy

IS INDIA FEDERAL? it has all **seven classic markers** (written and rigid Constitution, division of powers, constitutional supremacy, independent judiciary, bicameralism, dual polity) · but **Art 1 says "UNION OF STATES", not federation** · Ambedkar: the word indicates **no agreement among States** and **NO RIGHT TO SECEDE** · **"INDESTRUCTIBLE UNION OF DESTRUCTIBLE STATES"** - **Art 3 lets Parliament alter State boundaries and names WITHOUT State consent** (contrast the USA: indestructible union of indestructible States)

UNITARY FEATURES strong Centre and longest Union List · **States not indestructible (Art 3)** · **SINGLE Constitution** · **SINGLE citizenship** · **INTEGRATED judiciary** · **ALL-INDIA SERVICES** · **Governor appointed by the Centre** · **Emergency provisions incl. Art 356** · **integrated audit (one CAG)** · **single Election Commission** · **Parliament may legislate on State subjects (249, 250, 252, 253, 356)** · **veto over State Bills** · **RESIDUARY POWERS WITH THE UNION**

THE CASES **State of West Bengal 1963** - India is **not truly federal**, States not sovereign · **SR BOMMAI 1994 - FEDERALISM IS A BASIC FEATURE**, floor test, judicial review of Art 356 ·

reconciled: not classically federal, but the federal features India has are entrenched · **best formulation: federal in normal working, unitary in emergency**

SEVENTH SCHEDULE - ORIGINAL COUNTS **UNION 97** · **STATE 66** · **CONCURRENT 47** · **present counts DIFFER across sources** (Union 98 or 100, State 59 or 61, Concurrent 52) because entries were added, deleted, split and renumbered - **learn the ORIGINALS and state the variation honestly** · **what actually gets asked is WHICH LIST a subject is on**

42nd AMENDMENT 1976 moved **FIVE subjects** **State** → **Concurrent: EDUCATION · FORESTS · WEIGHTS AND MEASURES · PROTECTION OF WILD ANIMALS AND BIRDS · ADMINISTRATION OF JUSTICE** (and constitution of courts other than SC/HC)

KEY ENTRIES UNION: defence 1 · atomic energy 6 · railways 22 · **MINES AND OILFIELDS LABOUR AND SAFETY 55** · banking 45 · insurance 47 · census 69 · **RESIDUARY 97** · **STATE:** public order 1 · police 2 · local government 5 · public health 6 · agriculture 14 · land 18/45 · **CONCURRENT:** criminal law 1 · **TRADE UNIONS; INDUSTRIAL AND LABOUR DISPUTES 22** · **SOCIAL SECURITY AND SOCIAL INSURANCE; EMPLOYMENT AND UNEMPLOYMENT 23** · **WELFARE OF LABOUR INCLUDING PROVIDENT FUNDS, EMPLOYERS' LIABILITY, WORKMEN'S COMPENSATION, INVALIDITY AND OLD AGE PENSIONS, MATERNITY BENEFITS 24** · **FACTORIES 36** · education 25 · forests 17A

ENTRY 24 IS A TABLE OF CONTENTS FOR MODULE 3 "provident funds" → **EPF Act 1952** · "employers' liability, workmen's compensation" → **EC Act 1923** · "invalidity and old age pensions" → **EPS 1995** · "maternity benefits" → **MB Act 1961**

ART 246 (1) Parliament **EXCLUSIVE** on List I · (2) **BOTH** on List III · (3) States **EXCLUSIVE** on List II · **"subject to" (1) and (2)** · (4) Parliament may legislate on **ANY** matter for UTs · **the drafting encodes UNION SUPREMACY: Union > Concurrent > State**

FIVE ROUTES for Parliament onto State subjects 249 national interest, **RAJYA SABHA resolution by 2/3 PRESENT AND VOTING**, lasts **1 year renewable** · **250** during **National Emergency**, lapses 6 months after · **252** at the **REQUEST OF TWO OR MORE STATES** - thereafter **amendable ONLY by Parliament** (Wildlife Protection 1972, Water Act 1974) · **253** to implement **INTERNATIONAL TREATIES - ANY matter, no State consent needed** (the route by which **ILO Conventions** can enter Indian law) · **356** during President's Rule

ART 254 - REPUGNANCY

- 1 **254(1):** State law repugnant to a competent central law on a Concurrent matter → **CENTRAL LAW PREVAILS, State law VOID to the extent of repugnancy**
- 2 **254(2): UNLESS** the State law was reserved for and received the **PRESIDENT'S ASSENT** → then the **STATE law prevails IN THAT STATE**
- 3 **PROVISO to 254(2): Parliament may still override it** by fresh legislation - so Parliament has the last word
- 4 **APPLIED:** a State measure inconsistent with the EPF Act is **void unless Presidentially assented** - the answer to the employer who claims a State scheme discharges his central liability

RESIDUARY - Art 248 + Union Entry 97 · India and CANADA: centre · USA and AUSTRALIA: States

THREE DOCTRINES PITH AND SUBSTANCE - true nature and character; incidental encroachment does not invalidate (**Balsara 1951**) · **COLOURABLE LEGISLATION** - *what cannot be done directly cannot be done indirectly* (**Gajapati Narayan Deo 1953**) · **TERRITORIAL NEXUS** - extra-territorial operation valid on a **real, not illusory** connection

THE MINES ANOMALY every other labour statute is **Concurrent**; the **Mines Act 1952 is UNION ENTRY 55** · so **no State competence at all, enforcement exclusively central through the DGMS at Dhanbad**, and **no State mine-safety inspectorates** (unlike factory inspectorates, factories being Concurrent 36) · and the **APPROPRIATE-GOVERNMENT pattern TRACKS THE SEVENTH SCHEDULE** - Central for railways, mines, oilfields, major ports, banking and insurance, all Union List subjects

ADMINISTRATIVE RELATIONS 256 States to ensure compliance with parliamentary laws; **Union may give DIRECTIONS** · **257** State not to impede Union executive power · **258** Union may entrust functions **with State consent** · **261 FULL FAITH AND CREDIT** · **262 inter-State RIVER disputes**, Parliament may **exclude the Supreme Court's jurisdiction** (Inter-State River Water Disputes Act 1956) · **263 INTER-STATE COUNCIL** · the sanction behind **256/257 is that non-compliance can attract Art 356**

THE BODIES - classify them **INTER-STATE COUNCIL - CONSTITUTIONAL (Art 263)**, established **1990** on the **SARKARIA COMMISSION's** recommendation, chaired by the **PM, recommendatory** · **ZONAL COUNCILS - STATUTORY (States Reorganisation Act 1956)**, **FIVE** of them, chaired by the **UNION HOME MINISTER**, plus a **North-Eastern Council (1971 Act)** · **GST COUNCIL - CONSTITUTIONAL (Art 279A, 101st Amendment 2016)** · **NITI AAYOG - EXECUTIVE, Cabinet resolution 2015**, chaired by the **PM**

FINANCIAL RELATIONS Art 280 FINANCE COMMISSION (F1.10) · Art 275 statutory grants-in-aid on FC recommendation · **Art 282 discretionary grants** - the basis of centrally sponsored schemes

GST COUNCIL - Art 279A

- 1 **Chairperson: UNION FINANCE MINISTER** · members include the **Finance/Taxation Minister of EVERY STATE** · **Vice-Chairperson chosen from the State Ministers** · **quorum: half the total members**
- 2 **DECISION: 3/4 OF WEIGHTED VOTES** of members present and voting
- 3 **CENTRE = 1/3 of votes cast · ALL STATES TOGETHER = 2/3 of votes cast**
- 4 **SO NEITHER SIDE CAN ACT ALONE:** $1/3 < 3/4$, and $2/3 < 3/4$ - **agreement is structurally required**
- 5 **This is COOPERATIVE FEDERALISM by design**, contrasted with the **hierarchical** instruments (256 directions, 356, the Governor's reservation power) · *honest note: States have complained of delayed compensation and practical central dominance, so the model is real but contested*

9. Five-Minute Wall Sheet

FIVE-MINUTE WALL SHEET · CHAPTER F1.8 - CENTRE-STATE RELATIONS

Art 1: "UNION OF STATES" — no secession, no inter-State agreement

INDESTRUCTIBLE UNION OF DESTRUCTIBLE STATES (Art 3, no State consent)

UNITARY: single Constitution · single citizenship · integrated judiciary · All-India Services · Centre-appointed Governor · Art 356 · one CAG · one EC · RESIDUARY WITH UNION

WB 1963: not truly federal · SR BOMMAI 1994: federalism IS a basic feature

ORIGINAL COUNTS: UNION 97 · STATE 66 · CONCURRENT 47 (present counts vary — say so)

42nd AMDT moved to Concurrent: EDUCATION · FORESTS · WEIGHTS & MEASURES ·

WILDLIFE · ADMIN OF JUSTICE

CONCURRENT 22 trade unions & industrial disputes · 23 SOCIAL SECURITY & SOCIAL INSURANCE · 24 WELFARE OF LABOUR incl. PROVIDENT FUNDS · 36 FACTORIES

UNION 55 = MINES AND OILFIELDS — EXCLUSIVELY CENTRAL, hence DGMS and no State inspectorate

ENTRY 24 maps to: EPF 1952 · EC 1923 · EPS 1995 · MB 1961

Art 246: (1) Union exclusive · (2) both · (3) State exclusive BUT subject to (1) and (2) = UNION SUPREMACY

249 (RS 2/3 present-and-voting, 1 yr) · 250 (Emergency) · 252 (2+ States request, only Parliament may amend) · 253 (TREATIES, any matter) · 356

Art 254(1): central law PREVAILS · 254(2): State law with PRESIDENT'S ASSENT prevails in that State · PROVISIO: Parliament may override again

RESIDUARY: Art 248 + Entry 97 · India & CANADA = centre · USA & AUSTRALIA = States

PITH AND SUBSTANCE (Balsara 1951) · COLOURABLE (Gajapati 1953) · TERRITORIAL NEXUS

Art 256/257 DIRECTIONS · 261 FULL FAITH AND CREDIT · 262 river disputes (SC may be excluded) · 263 Inter-State Council

INTER-STATE COUNCIL = CONSTITUTIONAL (263), 1990, Sarkaria, PM chairs

ZONAL COUNCILS = STATUTORY (SRA 1956), FIVE, Home Minister chairs

GST COUNCIL = CONSTITUTIONAL (279A, 101st Amdt 2016)

NITI AAYOG = EXECUTIVE (Cabinet resolution 2015)

GST: FM chairs · 3/4 WEIGHTED VOTES · CENTRE 1/3 · STATES 2/3 · NEITHER CAN ACT ALONE

APPROPRIATE GOVERNMENT TRACKS THE SEVENTH SCHEDULE